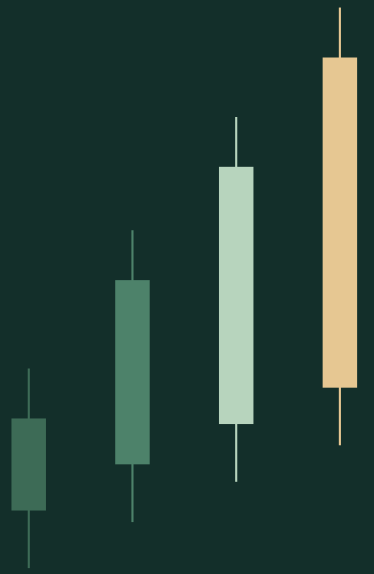
Robinhood and His Merrie Men

The GameStop Saga



ACCESS / RISK / TRUST

GROUP PRESENTATION

Ruilin Sun · Liu Yinghan · Cao Zihan · Peng Jiayi
Li Gaojie · Zou Zhihua · Guo Jing · Lu Junyu

October 15, 2026

Four questions. One market shock.

From the squeeze itself to what the industry should do next

Q1	What led to the short squeeze?	CAUSES
Q2	Should short selling be banned?	MARKET RULES
Q3	Was Robinhood justified in stopping customers from buying GME?	PLATFORM RESPONSIBILITY
Q4	How should the industry deal with “the mob”?	INDUSTRY RESPONSE

A disc store in a download world

Why the market had written GameStop off by 2020

THE BUSINESS

America’s video-game store

Buy new, trade in, resell.
4,816 stores.

THE DISRUPTION

Games went digital, ~2013

Xbox and PlayStation sold downloads directly to consumers.

THE COST

Debt: $0 → $800m by 2018

Acquisition spree; store closures came too late.

SELECTED CASE PRICE MILESTONES



Selected milestones; connecting line is schematic, not a full price series.

THE TWIST Aug 2020: Ryan Cohen buys in. By Jan 2021: ~13% ownership and a board seat.

Wall Street bet against it, all at once

Melvin Capital and Citron shorted GameStop; the exit became dangerously crowded.

SHORT INTEREST / JAN 15, 2021

102.1%

of tradable shares had been sold short

Over 100% is possible: a borrowed share can be re-lent and shorted again.

THE SHORT TRADE

Borrow → sell now → buy back later

+100%

Best case: the stock goes to zero

∞

Worst case: a price has no ceiling

11.6 days

of normal volume to cover all shorts (Mar 2020)

> **A packed room, one small door. All it needed was a fire alarm.**

Money, time and a cause built a retail army

Profit motive combined with powerful anti-Wall Street sentiment.

01 Cash and time

Government stimulus cheques and lockdown left new traders with extra cash and time.

02 Zero-commission access

Apps such as Robinhood removed the cost barrier for everyday investors.

03 Social proof and FOMO

Keith Gill’s visible success on WallStreetBets attracted followers and fueled greed.

FIRST-TIME INVESTORS

50%

of Robinhood’s new 2020 users

$53K → $11M

Keith Gill’s option trades

Free time + easy access + highly visible success stories formed a retail army.

Rising prices triggered even more buying

Retail investors, short sellers and option sellers reinforced the same upward spiral.

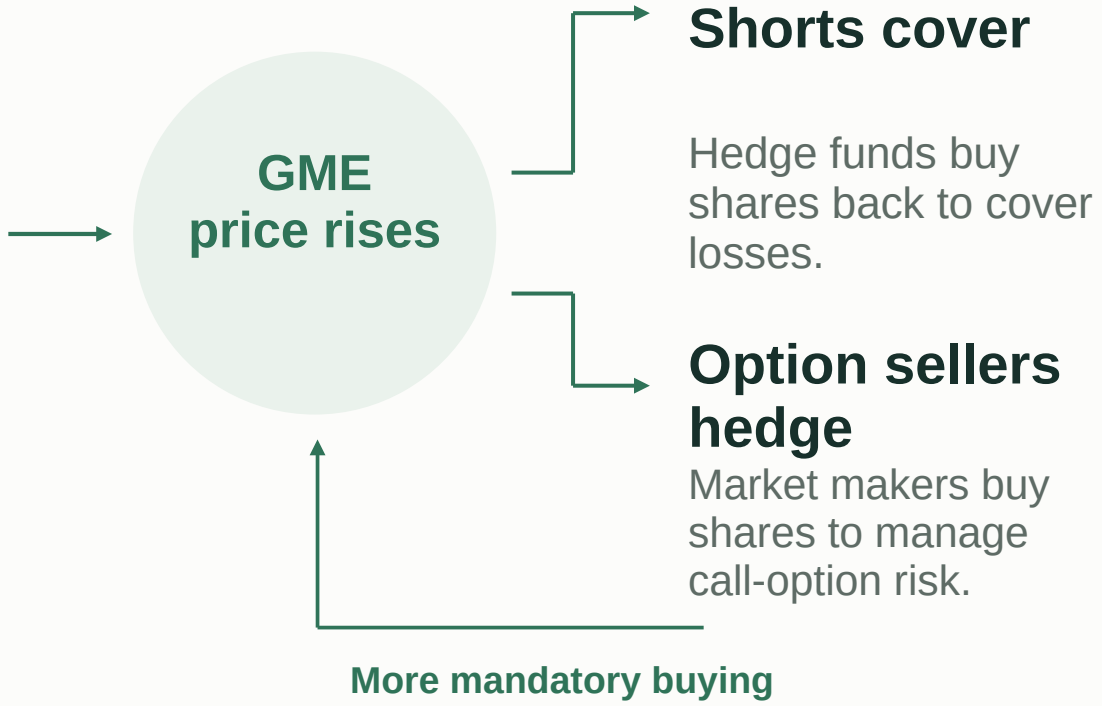
THE FIRST PUSH

Retail buy-in

Buy GME shares and options

+1.1 million

new WSB subscribers in a single day



THE OUTCOME

707.6%

GME gain
Jan 22–27, 2021

–54.4%

Melvin's January loss; $2.75bn bailout

Excessive short selling can amplify a rally

Crowded short positions create a feedback mechanism—and large losses.

GME SHORT INTEREST

102.1%

of public float
15 January 2021

SHORT INTEREST OVER TIME

92.5%	102.1%	35.4%
31 Mar 2020	15 Jan 2021	29 Jan 2021

POTENTIAL SHORT-COVERING FEEDBACK

1 **Price rises** → Short sellers' losses increase.

2 **Shorts cover** → They buy shares to close positions.

3 **Buying grows** → Additional demand can push prices higher.

Crowded positions

Covering can amplify an existing price increase.

Losses on both sides

Shorts lose on the way up; late buyers risk a reversal.

Short covering amplifies a rally. Retail buying and options activity also matter.

Regulate crowding, not all short selling

Targeted controls preserve liquidity and price discovery.

	RISK TO ADDRESS		PROPOSED RESPONSE
01	**Crowded short positions**	→	**Enhanced short-interest disclosure** More frequent reports reveal crowding sooner.
02	**High short interest**	→	**Risk-based margin requirements** Adjust margin to the risk of short positions.
03	**Securities lending**	→	**Stronger lending oversight** Improve monitoring of stock borrowing and lending.

Targeted safeguards—not a blanket ban.

Short selling gives buyers both sides of the story

Four reasons to preserve legitimate short selling.



Price discovery

Prices reflect both bearish evidence and turnaround hopes. GME faced digital competition.



Company scrutiny

Research can expose overvaluation or fraud. Nikola: short report (2020), SEC settlement (2021).



Liquidity

Extra sellers provide counterparties when buying demand rises.

Market discipline

–54.4%

Melvin’s January 2021 return. Short sellers bear losses.

Buyer protection includes access to negative information.

Keep short selling. Control excessive risk.

Safeguards should reflect crowding, leverage and how hard a position is to exit.

KEEP

Price discovery and liquidity

Investors need evidence from both bullish and bearish views.

ADD

Disclosure and risk-based limits

Report large positions. Check the ability to meet margin calls.

WATCH

Crowded trades on both sides

GME short interest reached 102.1% of public free float on 15 January 2021.

OUR VERDICT

Controls matched to risk—not a blanket ban.
Tighter limits when leverage and exit difficulty increase.

Robinhood faced a settlement cash squeeze

An emergency limit had a funding rationale.

1

Buy order

The app confirms a GME purchase immediately.

2

Settlement

Cash and shares transfer later—like credit-card settlement.

3

Cash deposit

The clearinghouse requires Robinhood to post more cash.

4

Temporary limit

Fewer new buys mean fewer trades to guarantee.

$3.4bn

$1bn on Jan 29
+ $2.4bn on Feb 1

Later funding supports a genuine cash-pressure explanation.

Funding pressure explains the rationale; fairness is a separate question.

Follow the money: a conflict of interest

Who pays Robinhood, and whose interests might be affected?

01 “Free” trading

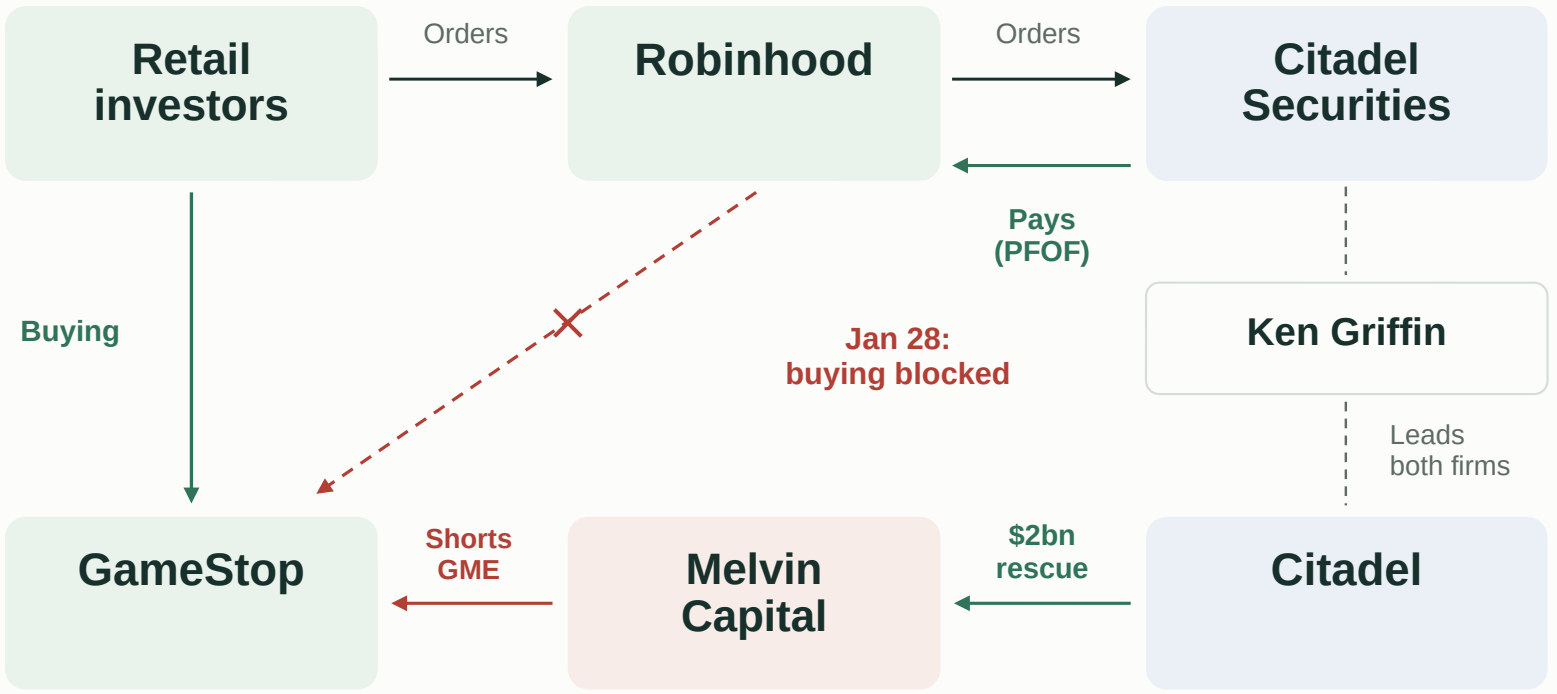
Robinhood sells users’ orders to Citadel Securities.

02 Shared leadership

Ken Griffin also leads Citadel, which gave $2bn to Melvin.

03 Trust concern

These links raise concerns; coordination is unproven.



These links raise a conflict concern; they do not prove coordination.

Robinhood users bore the cost of the restriction

The case for fair access and better contingency planning.

02 / ONE-SIDED ACCESS

New buys blocked. Selling allowed.

A restriction on only one side is not neutral.

JAN 28, 2021

Robinhood users	Institutions
Sell only	Traded freely

−44%

GME that day; short sellers benefited.

03 / PREPAREDNESS

Funding followed the restriction.

JAN 28 — JAN 29



“Not enough cash” — $1bn raised

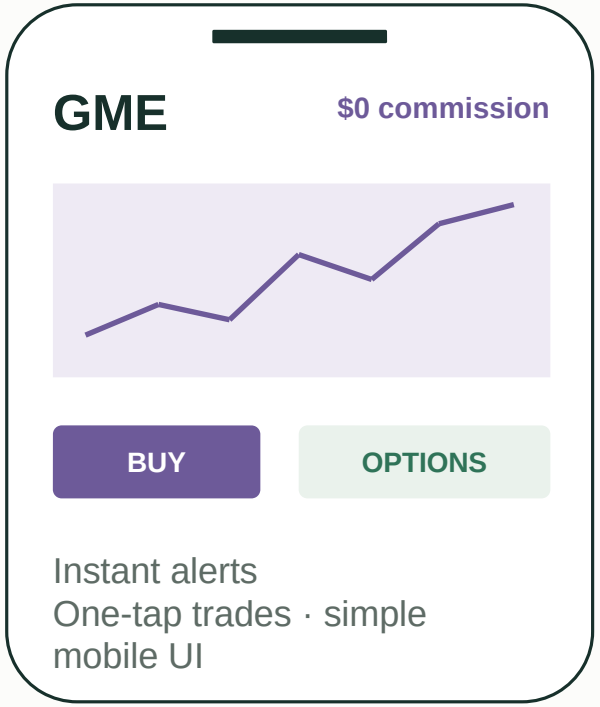
Our critique: customers paid the price.

Our verdict: not justified from the retail investor perspective.

Gamification lowered the barriers to trading

Lower barriers expanded participation—and reduced the perceived cost of risk.

Illustrative mobile interface



~50% of Robinhood's new 2020 users were first-timers

Zero commission

Simple mobile UI

Instant feedback

Lower trading friction

BENEFIT

More retail participation

RISK

More frequent or impulsive trading

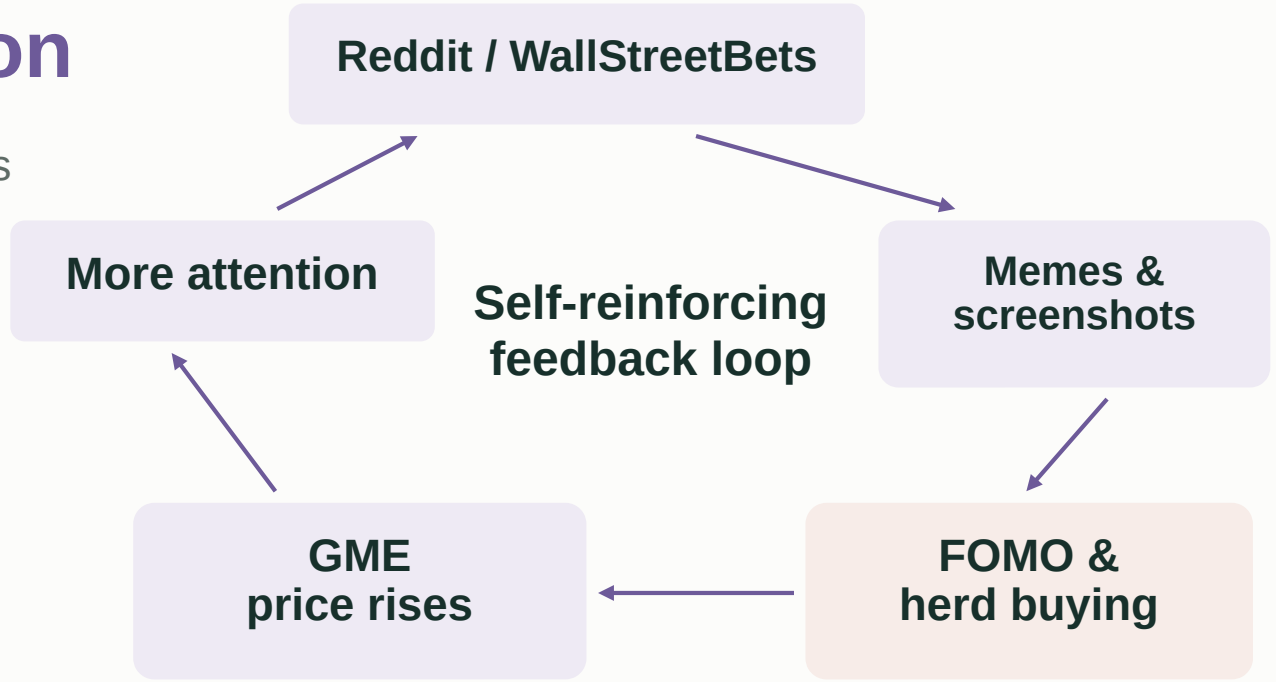
Lower transaction friction also lowered psychological friction.

Social media turned individuals into a crowd

Reddit amplified information sharing, group identity, FOMO and price momentum.

+1.1 million

new WSB members
in one day



BENEFITS

Faster information
Wider participation
Retail investor voice

RISKS

FOMO
Herd behavior
Speculative momentum

Collective enthusiasm is not proof of manipulation.

Manage market risks—not the retail crowd

Education, safer products and targeted oversight protect access and investor choice.

Investor education

Explain volatility, short squeezes and potential losses in plain language.

BEFORE TRADING

Inform first-time investors

Platform safeguards

Use options eligibility checks and prominent risk warnings.

COMPLEX PRODUCTS

Protect without blocking ordinary trades

Regulatory oversight

Investigate coordinated deception and suspicious trading.

MARKET CONDUCT

Distinguish discussion from manipulation

Design safer platforms and enforce fair rules—without silencing retail investors.

GameStop exposed a market-wide trust problem

The hearing raised questions beyond any one trading app.

U.S. HOUSE HEARING

18 FEB 2021

Financial Services Committee

KEY VOICES

Vlad Tenev · Keith Gill
Melvin's Gabe Plotkin

Q2 **Keep short selling**

Preserve information and liquidity; control excessive risk.

Q3 **Reject unfair buy limits**

Brokers need transparent funding plans and fair access.

Q4 **Manage herd risk fairly**

Education, responsible platform design and targeted oversight.

Open access requires transparent, accountable markets.

Thank you.

The GameStop Saga

Questions & discussion

ACCESS / RISK / TRUST